

DIKW Pyramid

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Data → Information → Knowledge → Wisdom

PROFESSIONAL DEFINITION

The DIKW Pyramid is a hierarchical model that arranges Data, Information, Knowledge and Wisdom in ascending order of context and value, showing how raw signals must be progressively interpreted before they can inform a decision.

WHO DEVELOPED IT

Popularised by Russell Ackoff in his 1989 address 'From Data to Wisdom', with roots traced to earlier information-science writing and an oft-cited stanza by T.S. Eliot.

WHY IT WAS DEVELOPED

Ackoff argued that organisations were drowning in data while starving for understanding. The model was developed to make explicit the work required to convert data into the judgment on which action depends.

FIGURE 1 · DIKW PYRAMID

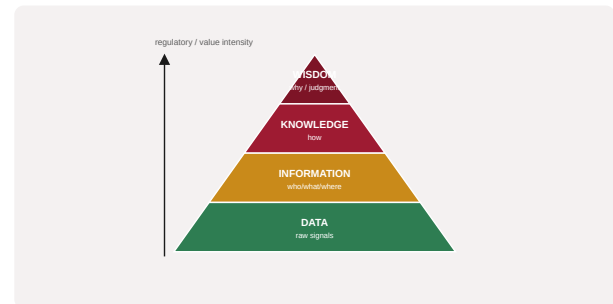


Figure 1. A schematic of the DIKW Pyramid as applied in BARBM312 (illustrative).

HOW IT IS USED

Each customer signal is located on the pyramid and traced upward: is it raw data, structured information, actionable knowledge, or decision-ready wisdom? Gaps reveal where value is being lost.

WHEN IT IS USED

At the start of any data or analytics initiative, when scoping what an AI system must actually deliver, and when auditing why dashboards fail to change behaviour.

BY WHOM IT IS USED

Data leaders, analytics teams, product managers and executives deciding what to instrument and what to ignore.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with treating 'big data' as inherently valuable, DIKW reframes value as the climb toward judgment — clarifying that AI accelerates the lower rungs but rarely supplies wisdom by itself.

RELATED FRAMEWORKS IN THIS COURSE

OODA Loop · Slibrary 1

Decision-Intelligence Stack · Slibrary 1

Data Value Chain · Slibrary 1

Insight-to-Action Gap · Slibrary 1

SOURCES (HARVARD REFERENCING STYLE)

Ackoff, R.L. (1989) 'From data to wisdom', Journal of Applied Systems Analysis, 16, pp. 3–9.
Rowley, J. (2007) 'The wisdom hierarchy', Journal of Information Science, 33(2), pp. 163–180.